

Meridian Restoration Supply

Meridian Restoration Supply had its best year in 2025 and nearly ran out of cash doing it.

The company distributed drying equipment, dehumidifiers, antimicrobials, and containment supplies to water-damage and fire-restoration contractors across six states in the southeast. Two hurricanes and an unusually hard winter had made 2025 extraordinary. Revenue rose 45 percent to \$61 million. Net income rose from \$1.89 million to \$2.75 million. The founder, Ruth Amiri, had told the staff at the December meeting that it was the strongest year in the company's eighteen.

In January, Priya Chandran, the credit officer at Third Coast Bank who carried the Meridian relationship, pulled the year-end statements to prepare the annual review. The revolving credit facility, \$15 million committed, came up for renewal on March 31. Meridian had drawn \$3 million against it at the end of

1. At the end of 2025 the draw was \$13.5 million.

Chandran's first pass on cash flow produced a number that did not look like a record year. Cash from operations was negative \$7.9 million. After \$2.4 million of capital spending on warehouse racking and two delivery trucks, free cash flow was negative \$10.3 million. The revolver had funded essentially all of it.

The covenant in the facility capped total debt to EBITDA at 3.50 times. With \$17.5 million of total debt against \$5.0 million of EBITDA, Meridian was at 3.48. Chandran had seen borrowers pass a covenant test by two basis points before, and it had never once been an accident.

The credit memo needed to answer a question Chandran's committee always asked in this situation and rarely got a straight answer to: is this company growing too fast for its balance sheet, or is it running itself badly? The two look identical in a single year of cash flow and they call for opposite responses. Growth that outruns working capital is a reason to lend more. Deteriorating collections and bloated inventory are a reason to lend less.

Amiri's own explanation, offered on the phone, was that the storms had forced Meridian to buy ahead. "You cannot sell a dehumidifier you do not have in the building. We bought inventory in September for a season we could not forecast, and the contractors we sold to are waiting on insurance carriers to pay them. That is not mismanagement. That is the business."

Chandran wanted to know how much of the \$11.4 million swing in working capital that explanation actually covered.

EXHIBIT 1 — MERIDIAN RESTORATION SUPPLY (\$ THOUSANDS)

	2024	2025
Revenue	42,000	61,000
Cost of goods sold	28,560	41,785
Net income	1,890	2,745
Depreciation and amortization	620	780
Interest expense	310	640
Income taxes	600	870
Capital expenditures	900	2,400
Accounts receivable	5,984	11,866
Inventory	7,100	13,400
Accounts payable	4,300	5,100
Revolver drawn	3,000	13,500
Term loan	4,300	4,000

Management's 2026 plan assumes revenue of \$79 million, a 30 percent increase, at the 2025 gross margin.

ASSIGNMENT

- 1 Compute cash from operations and free cash flow for 2025. Show the working capital change from the balance sheet accounts.
- 2 Split the working capital change into the part caused by growth and the part caused by a change in how the business is run. Do this by asking what working capital would have been at 2025 volumes if receivable days, inventory days, and payable days had stayed at their 2024 levels.
- 3 Which of the three accounts moved most against Meridian, and does Amiri's explanation cover it?
- 4 Roll the 2026 plan forward at 2025's working capital ratios. What is the revolver balance at the end of 2026, and what is total debt to EBITDA?

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You are Chandran. Renew, renew with conditions, or decline — and if conditions, name them in terms Meridian's controller could actually monitor.